

The background of the slide is a photograph of the Iowa State University campus, featuring the Old Capitol building and various trees. A solid red overlay covers the entire image. Two thin horizontal gold lines are positioned above and below the main text.

IOWA STATE UNIVERSITY

Ivy College of Business
FIN/ENTRP 4350 SPRING 2026

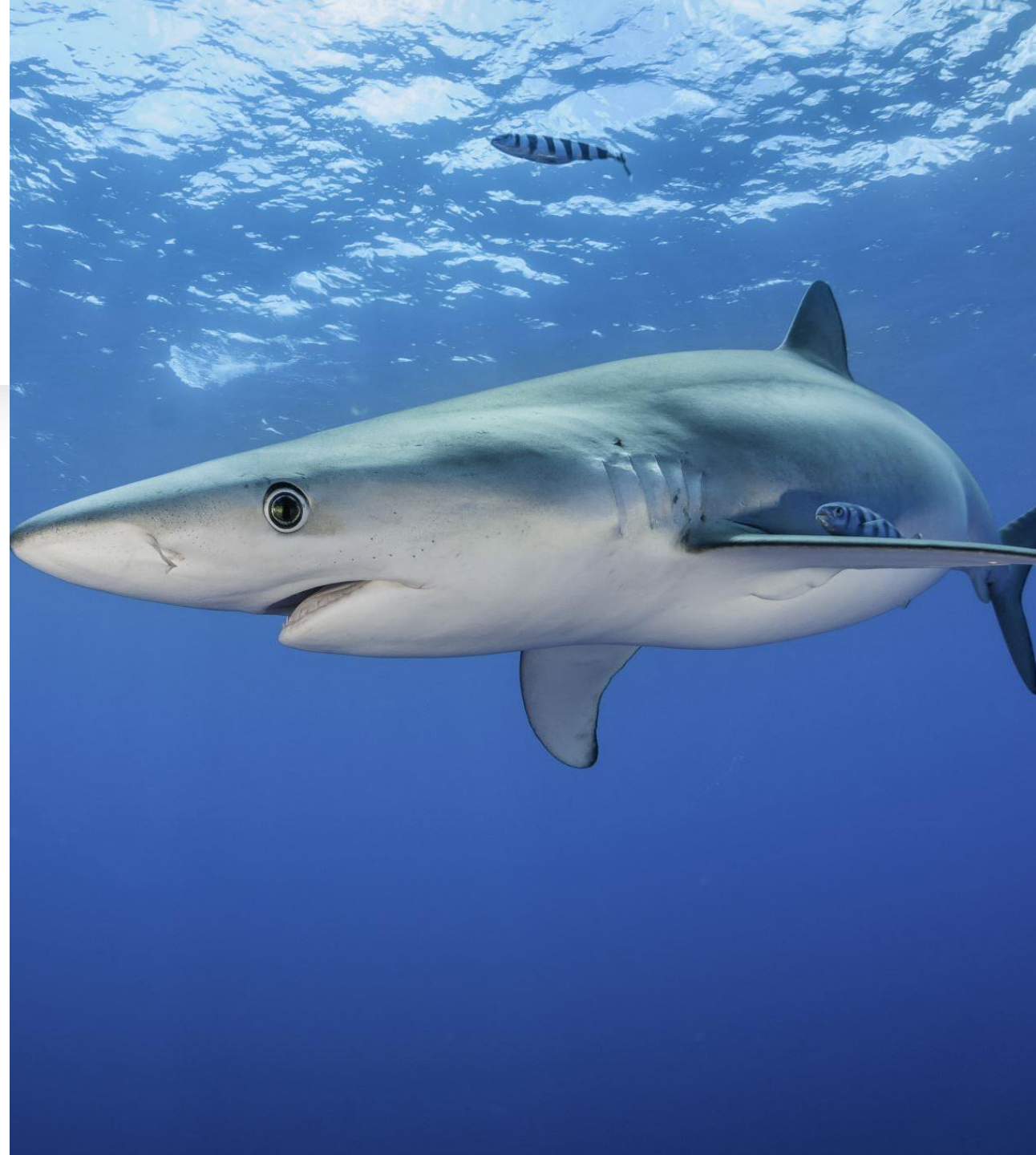
Professor Todd Ortberg
ortberg@iastate.edu

Venture Capital and Private Equity- Different, yet....

	Venture Capital (VC)	Private Equity (LBO)
Lifecycle Stage	Early-Stage	Late-Stage
Investment Type	Minority Stake (<50%)	Majority Stake (>50%)
Return Drivers	• Revenue Growth ("Top Line") • Customer Acquisition Cost (CAC) • Product-Market Fit (PMF)	• Deleveraging (i.e., Debt Paydown) • Operational Improvements • Multiple Expansion (EBITDA-Based)
Investors	• Angel Investors • Seed-Stage Investors • Early-Stage Venture Firms	• Private Equity Firms (Buyout) • Institutional Asset Managers • Family Offices
Profitability	Pre-Revenue → Unprofitable	Stable, Consistent Profitability
Hold Period	5 to 10 Years	3 to 6 Years
Leverage	0%	50% to 75%

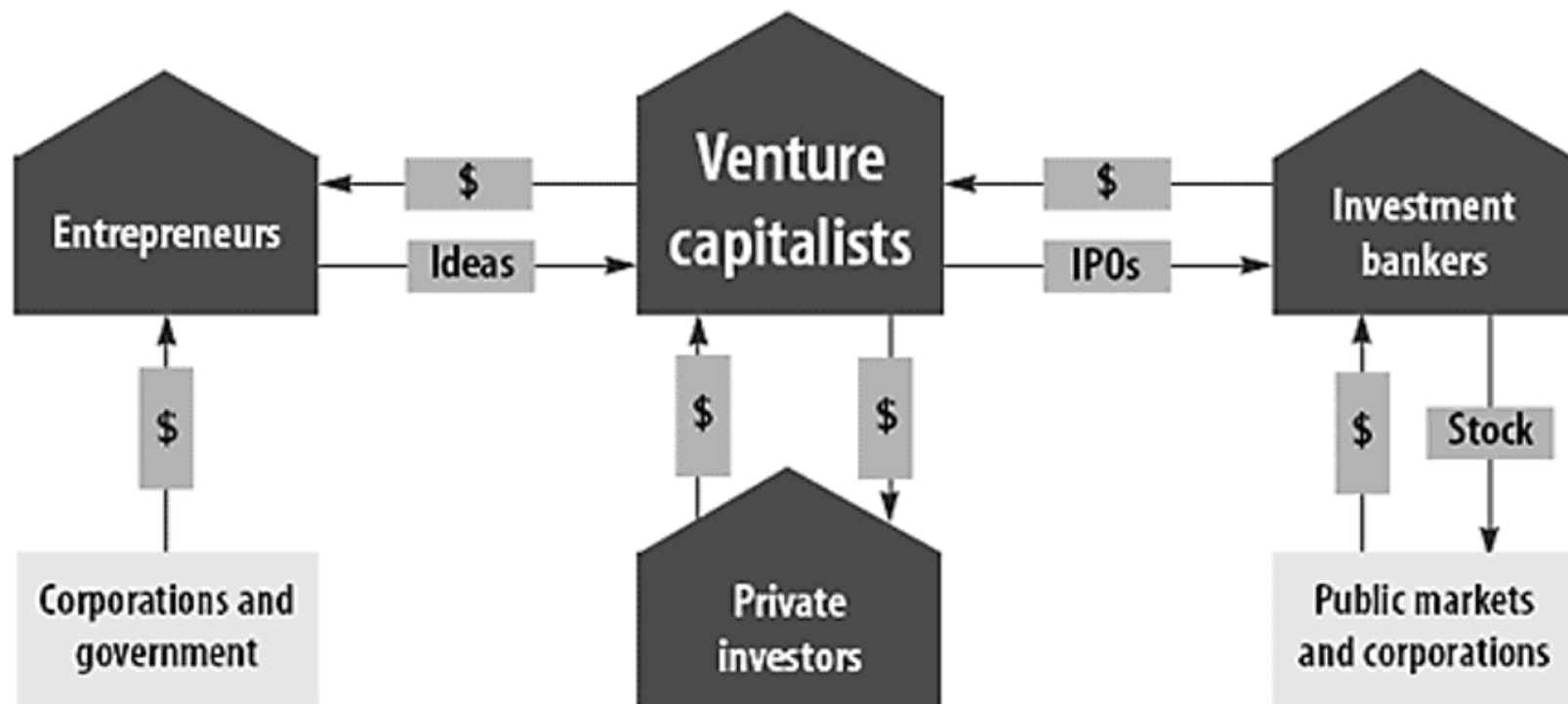
ON THE VENTURE CAPITAL SIDE....

We will learn what
Happens
In The 10 Years
After
Shark Tank



HOW THE VENTURE CAPITAL INDUSTRY WORKS

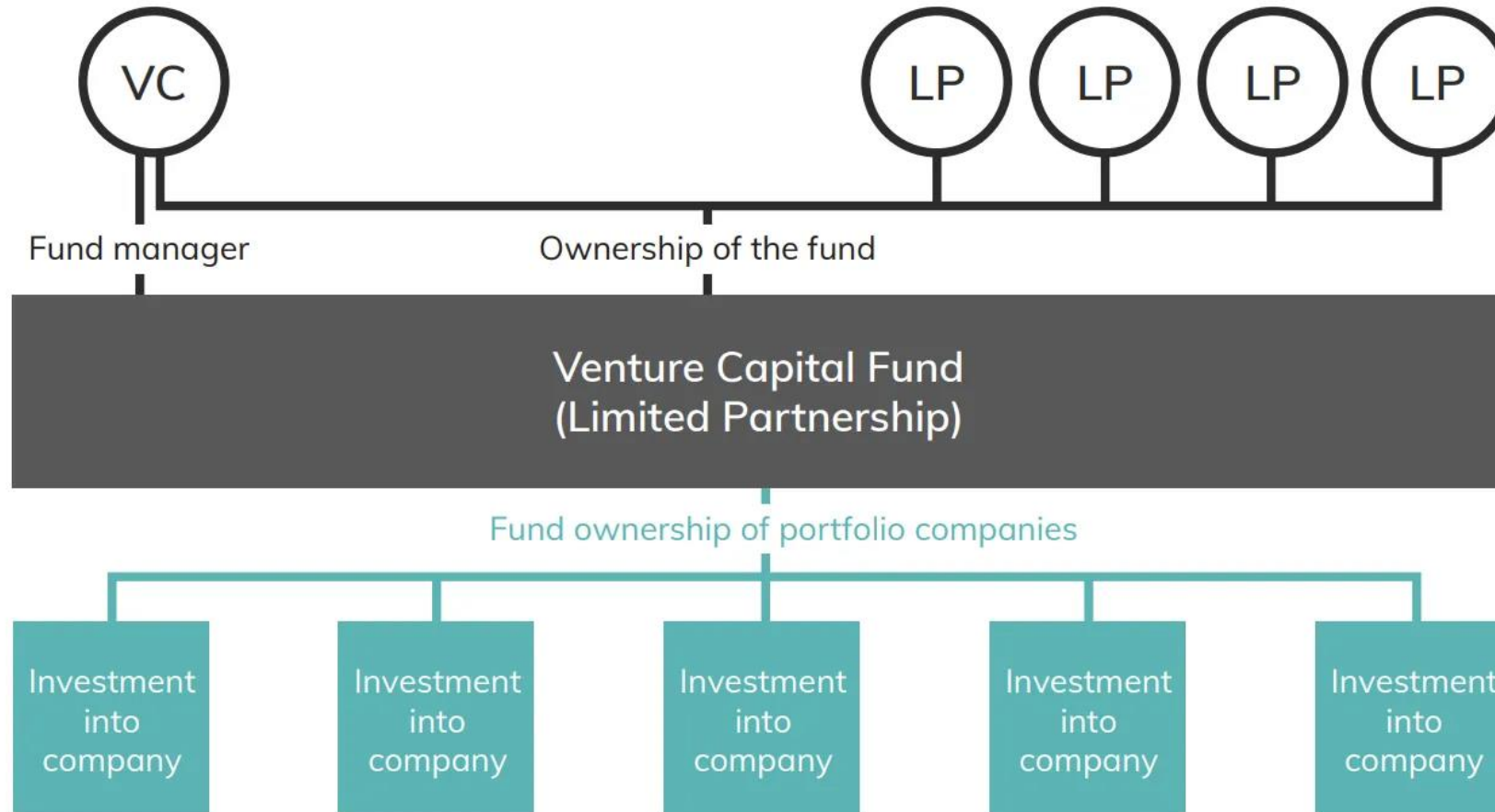
The venture capital industry has four main players: entrepreneurs who need funding; investors who want high returns; investment bankers who need companies to sell; and the venture capitalists who make money for themselves by making a market for the other three.



The VC Fund Structure

Venture Capital Firm
(General Partners or GPs)

Limited Partners
(LPs, Investors)

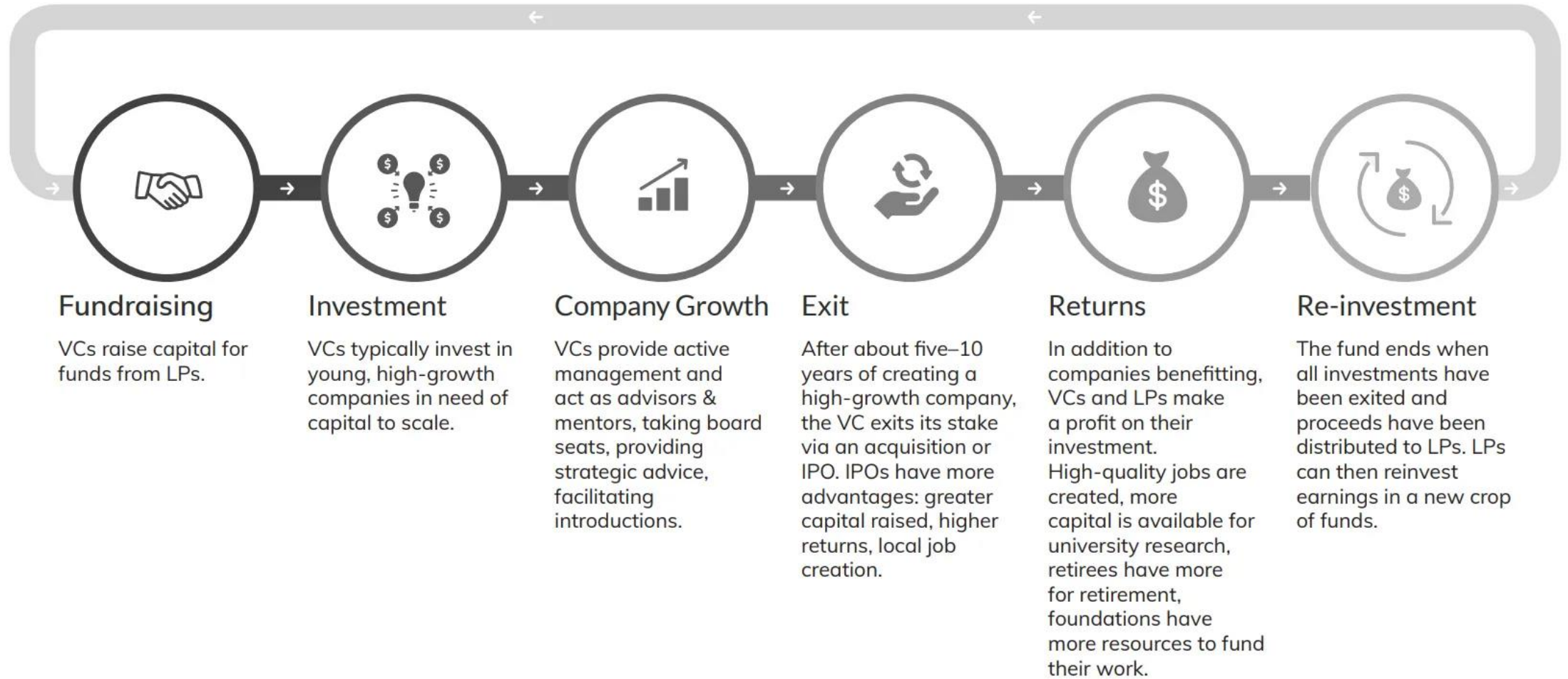


Examples: public pension funds, corporate pension funds, insurance companies, high net-worth individuals, family offices, endowments, foundations, funds of funds, sovereign wealth funds

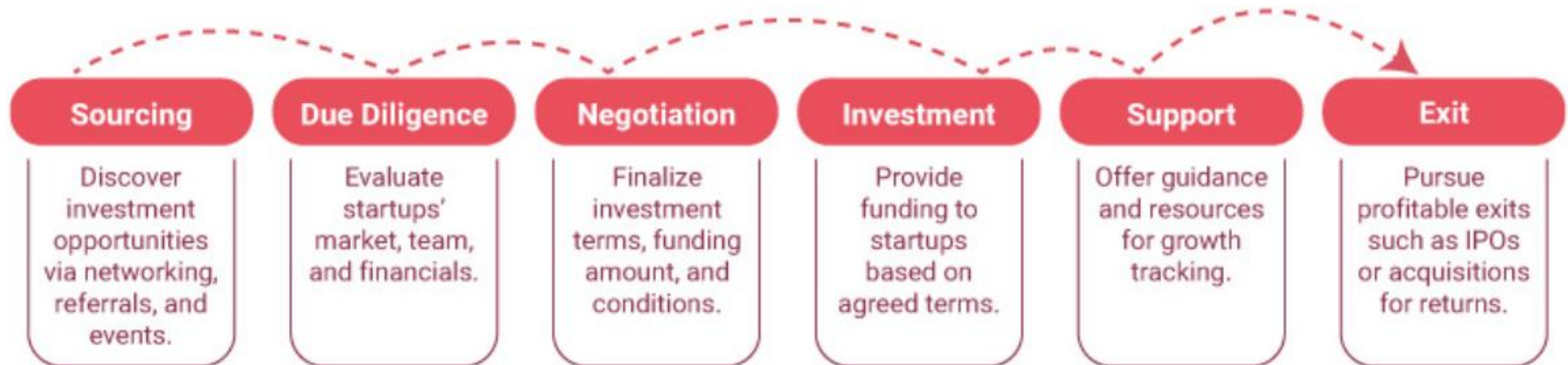
The most common limited partners (LPs) of private equity and venture capital funds include:

- Pension Funds
- University Endowments
- Insurance Companies
- Sovereign Wealth Funds (SWF)
- Fund of Funds (FoF)
- High-Net-Worth Individuals ("Ultra")

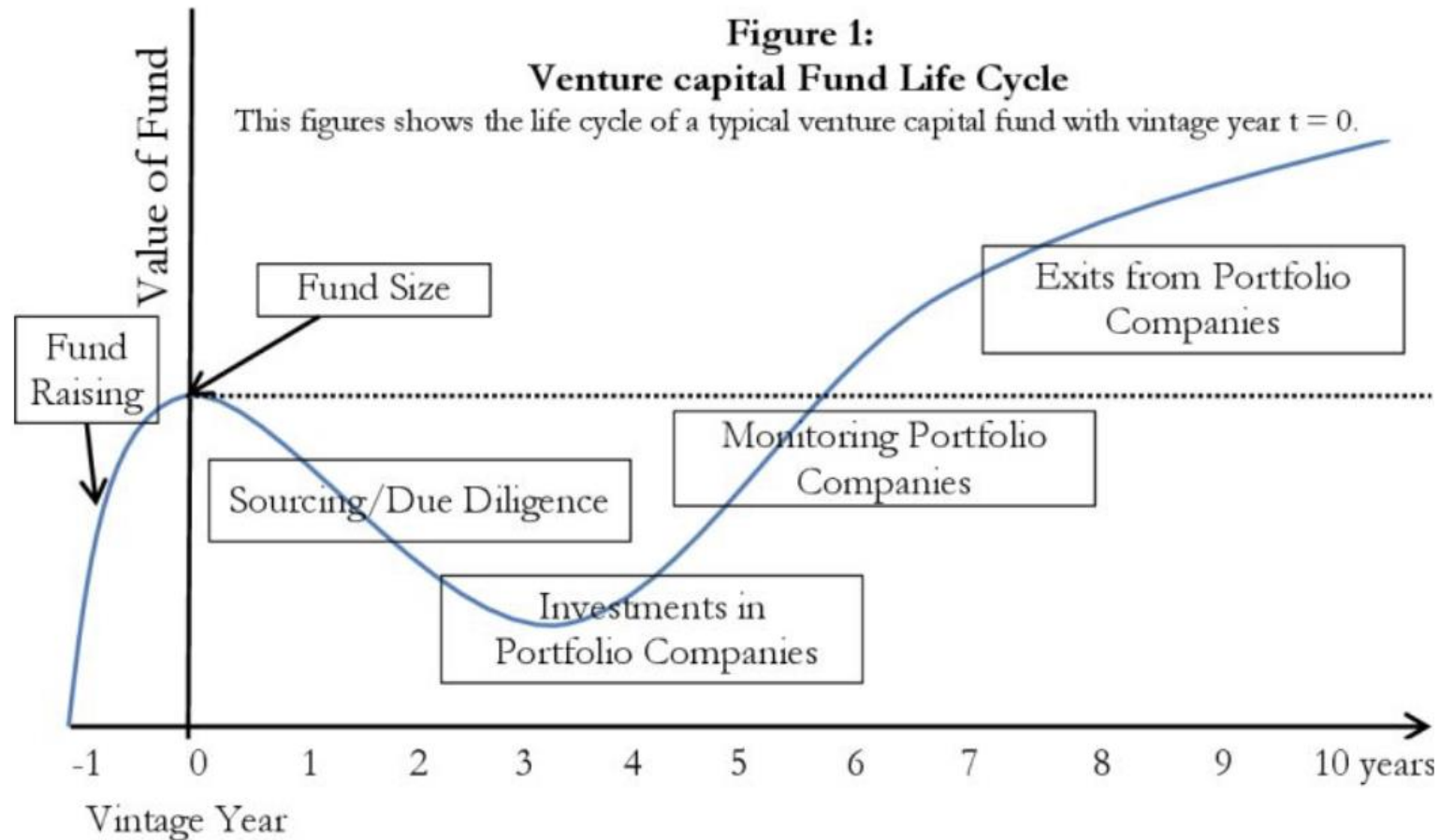
How Venture Capital Works



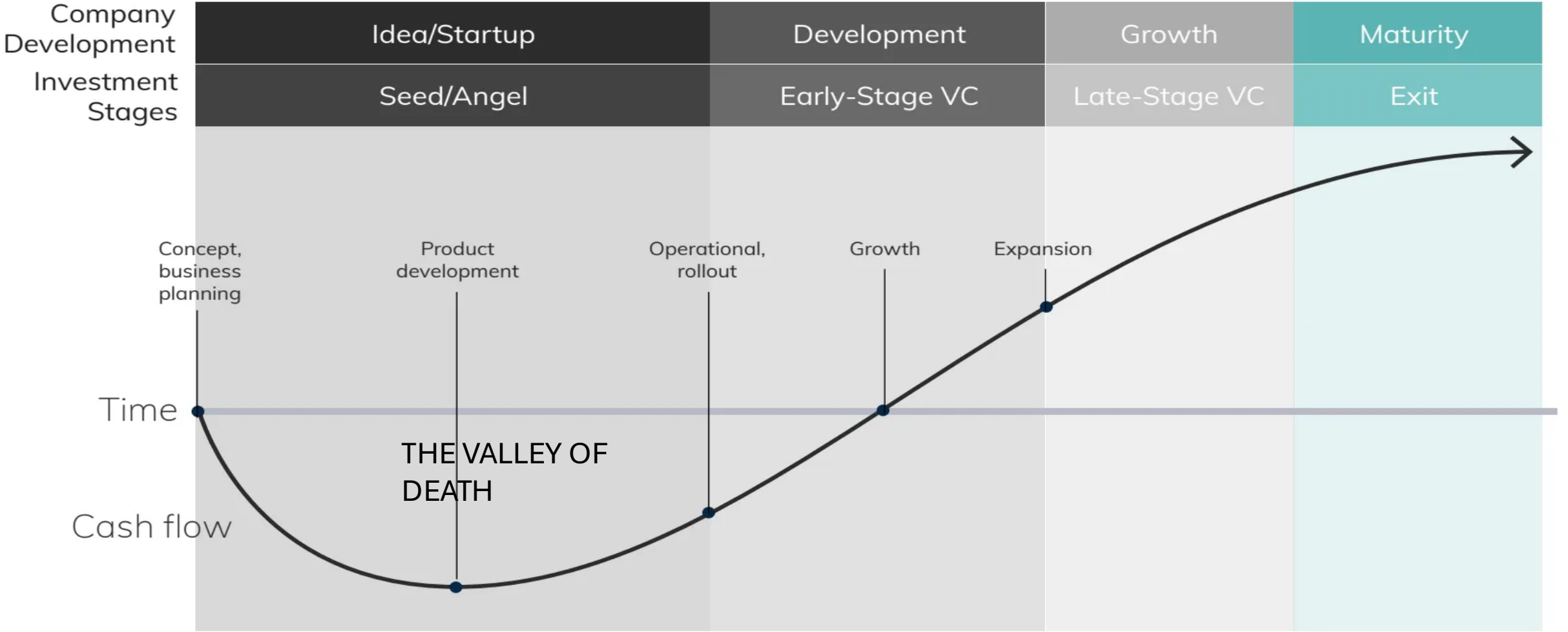
TYPICAL VENTURE CAPITAL PROCESS for a DEAL



A VC FUND is only for TEN YEARS.....



Venture Capital Plays a Vital Role in a Startup's Growth



Sources of funding: VCs, angel investors, incubators, accelerators, strategic investors (corporate groups), growth equity investors, private equity firms, debt investors

The Venture Capital Secret – 75% of Startups Fail

Source: [DEBORAH GAGE](#), Wall Street Journal

It looks so easy from the outside. An entrepreneur with a hot technology and venture-capital funding becomes a billionaire in his 20s.

But now there is evidence that venture-backed start-ups fail at far higher numbers than the rate the industry usually cites.



About three-quarters of venture-backed firms in the U.S. don't return investors' capital, according to recent research by Shikhar Ghosh, a senior lecturer at Harvard Business School.

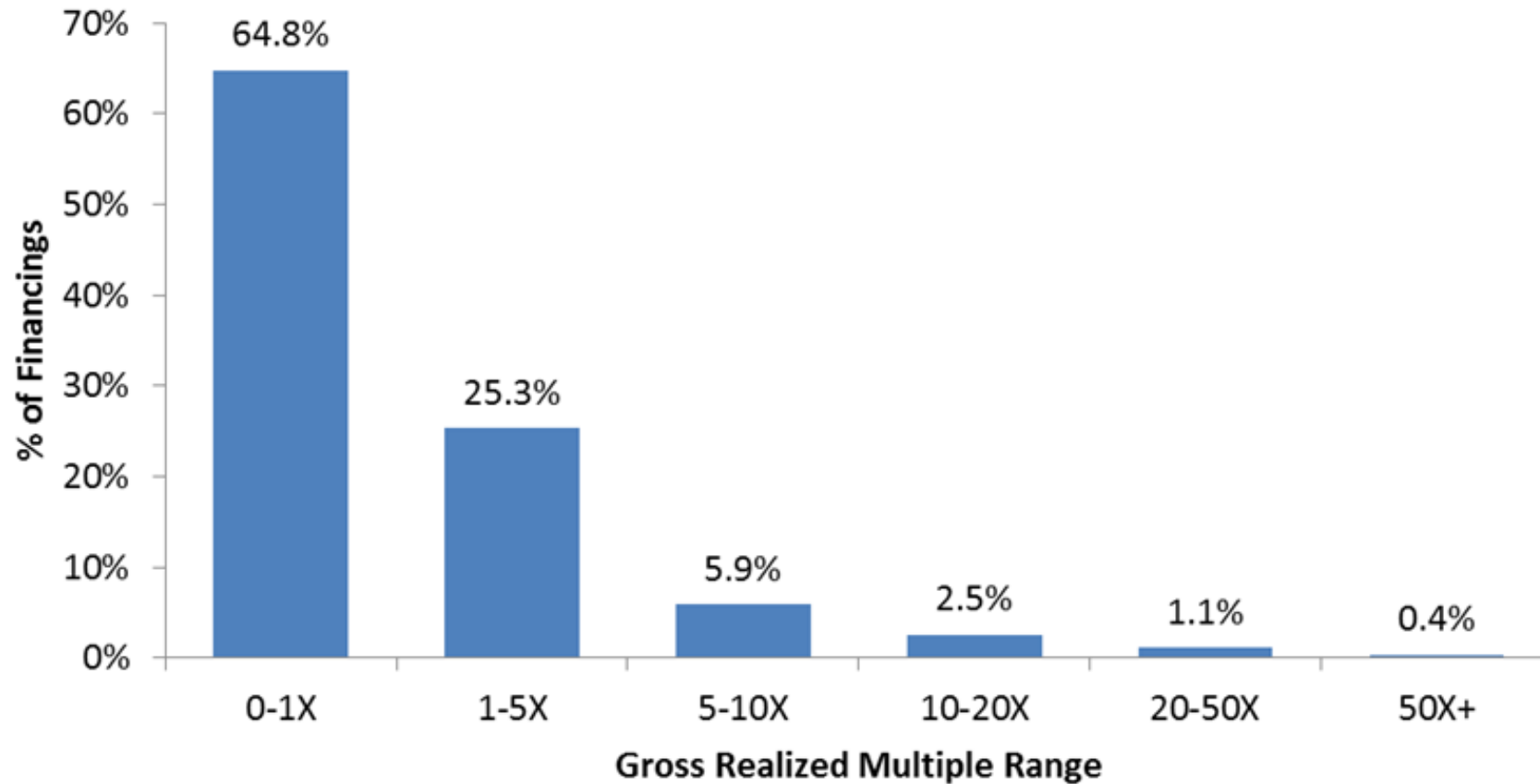
If you research further, there are many definitions of failure. So to help put an end to the debate, I reached out to Matt Murphy, Managing Director at Menlo Ventures:

“Approximately 70% of startups fail. Of the remaining 30%, some will deliver a 3–5x returns, which is considered a very good return. But the VC still needs roughly 5% of their companies to deliver 10 to 100x returns to balance out the losses, and drive significant returns.”

No matter how you slice it, the failure rate is high.

Right-Skewed Distribution of U.S. Venture Returns

By % of financings
in companies going out-of-business, acquired, or IPO 2004-2013
n=21,640 financings



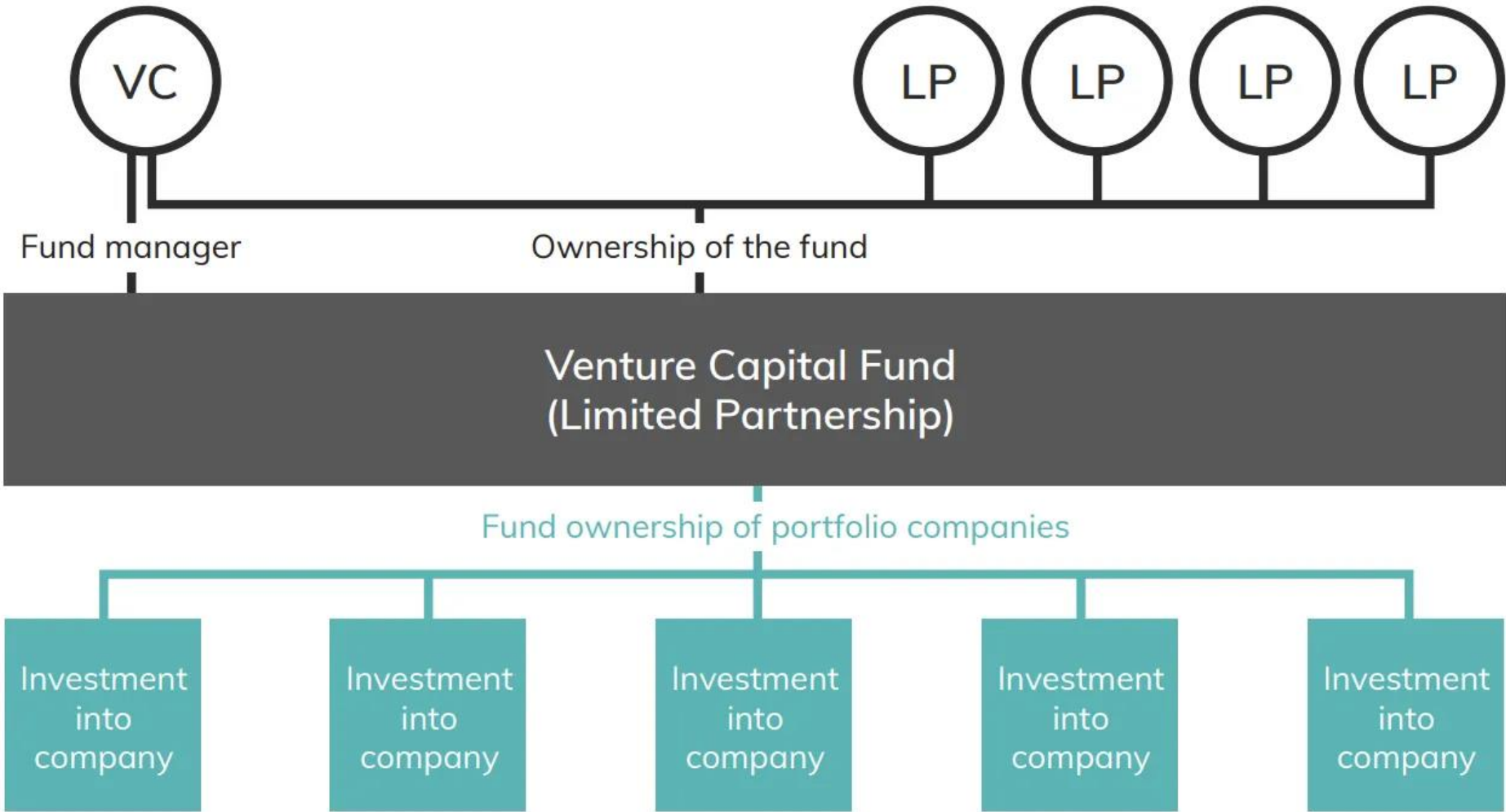
Includes data from Dow Jones VentureSource and other sources

The VC Fund Structure

Venture Capital Firm
(General Partners or GPs)

Limited Partners
(LPs, Investors)

Examples: public pension funds,
corporate pension funds, insurance
companies, high net-worth individuals,
family offices, endowments,
foundations, funds of funds, sovereign
wealth funds



Startup Funding Stages



Typical Funding Rounds and names

- **Pre-Seed / Seed Stage:** The pre-seed and seed-stage round consists of close friends and family of the entrepreneurs as well as angel investors. More seed-stage VC firms have emerged in recent years, but the area remains niche and is typically for unique situations (e.g. founders with previous exits, preexisting relationships with the firm, former employees of the firm).
- **Series A:** The Series A round includes early-stage investment firms and represents the first time institutional investors provide financing. Here, the startup's focus is on optimizing its product offering(s) and business model.
- **Series B/C:** The Series B and C rounds represent the "expansion" stage and comprise predominantly of early-stage venture capital firms. At this point, the startup has likely gained tangible traction and shown adequate progress towards scalability for success to seem achievable (i.e. proven product/market fit).
- **Series D:** The Series D round represents the [growth](#) equity stage in which new investors provide capital under the impression that the company can have a large exit (e.g. undergo an IPO) in the near term.

Not usually an
"Institutional
VC Investment
Firm"

Early Stage
VC
"Institutional
Investor"

VC
"Institutional
Investor"

Late Stage or
Growth VC
"Institutional
Investor"

PreMoney, Amount Raised for 2025

Stage	Median Pre-Money Valuation (\$M)	Median Amount Raised (\$M)
Seed	\$13.5M	\$3.6M
Series A	\$45.5M	\$13.7M
Series B	\$119M	\$30M
Series C	\$225M	\$43.5M
Series D+	\$655M	\$61.2M

LETS MAKE A VC INVESTMENT

....WHAT IS IT EXACTLY BEING TRANSACTED?

UNDERSTANDING YOUR STARTUP FUNDING OPTIONS: BOOTSTRAP, DEBT, OR EQUITY



Bootstrapping

It's starting and growing your business using only your own money or the money the business makes.



Equity Funding

This is when you get money from investors for your business, but in return, they get a share of the ownership and a say in the company's decisions.



Debt Funding

This means borrowing money to run your business, which you'll have to pay back with interest, but you keep full ownership and control over your company.

Typically
PREFERRED SHARES
PURCHASE

This is **PRICED**



Equity Funding

This is when you get money from investors for your business, but in return, they get a share of the ownership and a say in the company's decisions.



Debt Funding

This means borrowing money to run your business, which you'll have to pay back with interest, but you keep full ownership and control over your company.

Typically
CONVERTIBLE NOTE

Often “Converts” at next round of financing at a price

This is **UNPRICED**



FINRO FINANCIAL CONSULTING
The Boutique Alternative



Equity Funding

This is when you get money from investors for your business, but in return, they get a share of the ownership and a say in the company's decisions.

Equity Investment

- Preferred Shares are sold at a PRICE per share that is established by the Pre Money.
- It buys PREFERRED SHARES
- It has rights above the COMMON shares the founders and employees own.
- It requires a COMPANY VALUATION to set PRICE

PRICING ROUNDS of FINANCING

- **PRICED**

- EQUITY INVESTMENTS

- Pre Money
 - Post Money

- **NOT PRICED....yet**

- CONVERTIBLE notes are NOT PRICED.....yet

- SIMPLE AGREEMENTS for EQUITY (“SAFE’s”).... are NOT PRICED.....yet

IN VENTURE CAPITAL/STARTUP FINANCINGS:

- THE COMPANY is RE-VALUED (very arbitrarily)
EVERY FINANCING ROUND

and

OWNERSHIP CAN CHANGE- SIGNIFICANTLY

as well as

BOARD/MANAGEMENT OFTEN CHANGE

VALUATIONS IN VENTURE CAPITAL

VALUATIONS IN PRIVATE MARKETS (VC AND PE)- VALUATIONS ARE NOT SET BY A MARKET PRICE PER SE

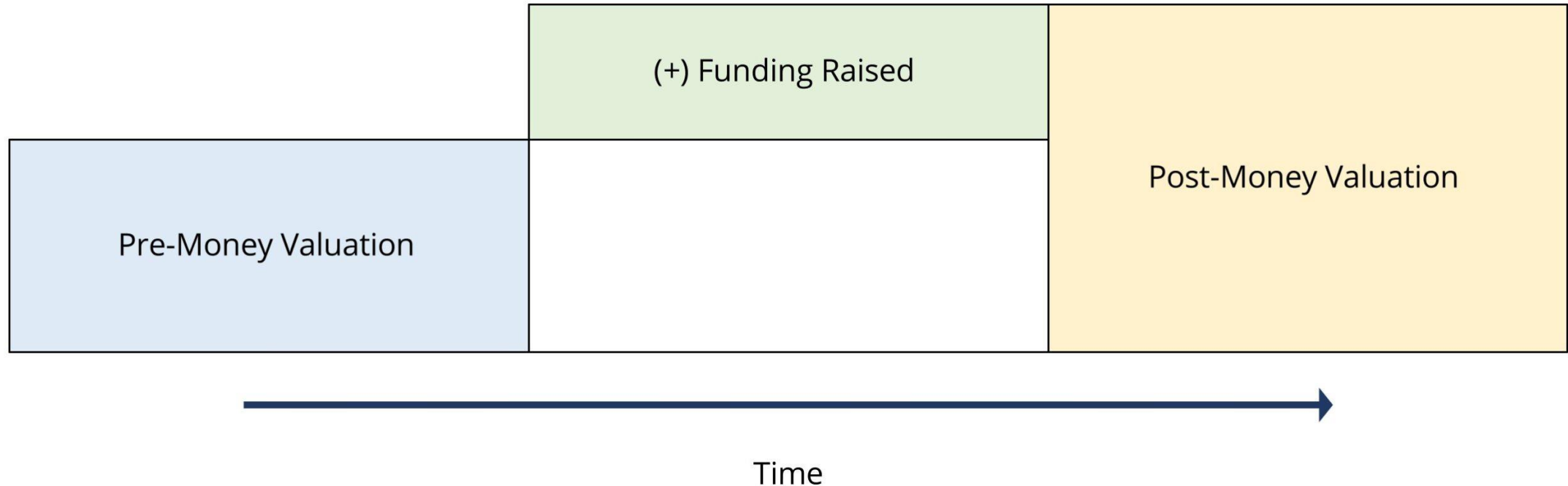
- **Every round or deal of a company is done at a different, re-negotiated price**
- Price per share is set and negotiated in **Term Sheets**.
- It is based on....lots of things...factual and not....
 - the **dynamics of the company**
 - the **market conditions**
 - the **timeline of the investment funds**
 - Other terms like **Liquidation Preferences**

VENTURE CAPITALIST INVEST VIA A “TERM SHEET”

- We are going to learn all aspects of a real TERM SHEET.
- This is where the price and terms for PREFERRED STOCK are negotiated
- Investors buy Preferred Stock that has rights above the Common Stock that set up the company (founders stock)
- My observation: Not understanding the Term Sheet is the NUMBER ONE source of later issues with founders and investors being misaligned, especially on EXITS

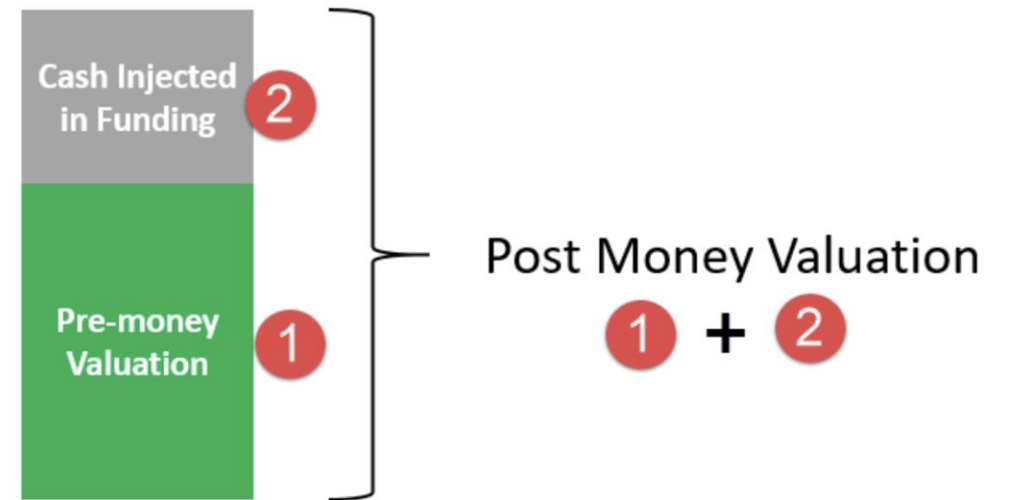
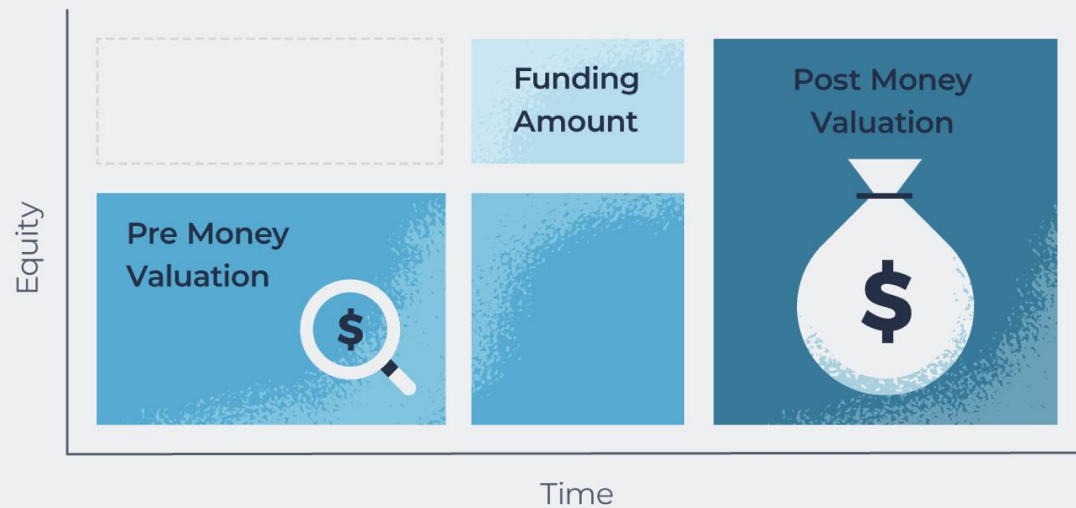
The Basic Terms in VC Valuations:

PRE-MONEY, MONEY, and POST-MONEY



Pre-Money vs Post-Money Valuation

A pre-money valuation is the value of the company's equity before raising a round of funding. Once the funding occurs, the investment amount is added to the pre-money valuation to calculate the post-money valuation.



THE **POST MONEY** is also the amount financed, divided by the amount that bought



$$\text{Post-Money Valuation} = \frac{\text{Financing Raised}}{\% \text{ Equity Ownership}}$$

VENTURE INVESTMENT- PRICED EQUITY EXAMPLE

VALUATION and DILUTION - **FIRST SEED ROUND** to ESTABLISH Co

Assumptions		Fully diluted ownership	Shares
Shares	1,000,000		
Pre-money value	\$ 4,000,000		
Value per share	\$ 4.00		
Jill	55.00%	49.50%	495,000
Jack	45.00%	40.50%	405,000
Option pool	10.00%	10.00%	100,000
		100.00%	1,000,000

Initial Ownership of Founders

NO INVESTORS YET

SECOND ROUND with VC INVESTMENT

Assumptions		Fully diluted ownership	Shares
Shares			1,000,000
Pre-money value	\$		4,000,000
Value per share	\$		4.00
Jill		55.00%	49.50%
Jack		45.00%	40.50%
Option pool		10.00%	10.00%
		100.00%	1,000,000

Investment	
Pre-money value	\$ 4,000,000
Cash investment	1,000,000
Post-money value	5,000,000
Ownership	20.00%
Shares	250,000

Shares owned post-money	Shares	Fully diluted ownership	Dilution	% Dilution
Jill	495,000	39.60%	9.90%	20.00%
Jack	405,000	32.40%	8.10%	20.00%
Option pool	100,000	8.00%	2.00%	20.00%
VCs	250,000	20.00%		
	1,250,000	100.00%	20.00%	

-Add a \$1M investment in Equity from INSTITUTIONAL INVESTOR (VC)

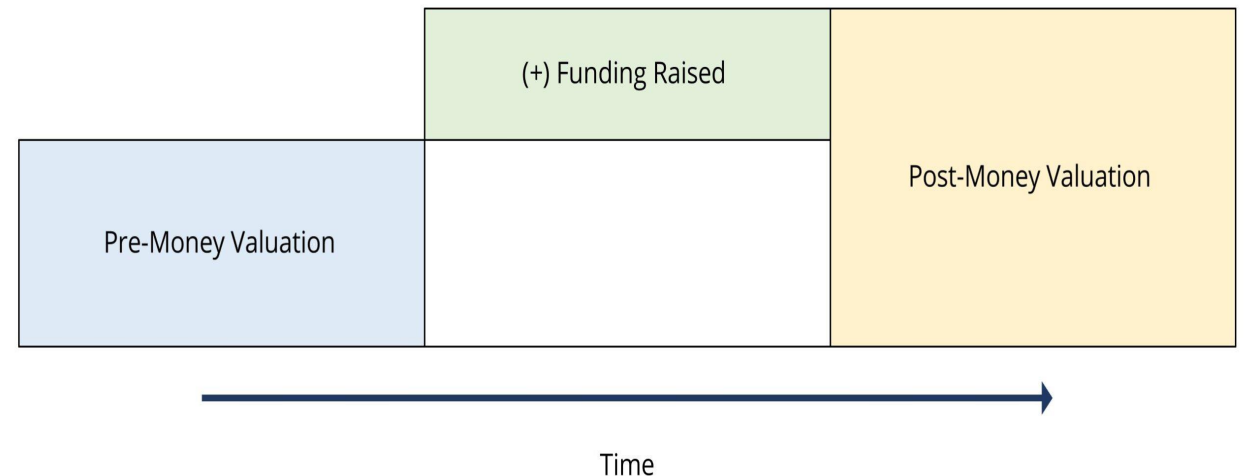
-Priced at \$4M pre money

-So \$5M Post Money is COMPANY NEW VALUATION

Examples

- "I will buy a 5% stake in your company for \$200,000"
- \$200,000/.05 =
- **\$4,000,000 Valuation.**
- POST MONEY
- The FOUNDERS own 95% of the company, the investor owns 5%
 - Though investor get Preferred Stock

$$\text{Post-Money Valuation} = \frac{\text{Financing Raised}}{\% \text{ Equity Ownership}}$$



UN-PRICED ROUNDS

- **PRICE CAN BE DEFERRED UNTIL THE NEXT ROUND**
- **That means it's a "CONVERTIBLE" Security. There are two types:**
 - **CONVERTIBLE DEBT- which is a loan....**
 - With typically no payments made
 - Dividends accrue.... but are also typically not paid
 - **SIMPLE AGREEMENT FOR EQUITY- which is a Warrant**
 - It gives the investor the right to purchase shares of a company's stock at a future date at a predetermined price

CONVERTIBLE NOTE (or VENTURE DEBT) option



Debt Funding

This means borrowing money to run your business, which you'll have to pay back with interest, but you keep full ownership and control over your company.

- The company signs an agreement to “borrow” money temporarily
- It buys an **OPTION** to **CONVERT** to **PREFERRED SHARES** and the **FUTURE ROUND** price
- Until paid or converted, it is a debt, and the is senior to Preferred Shares, so it is paid back first
- It **DOES NOT** require a **COMPANY VALUATION** to set **PRICE**.....there is no price yet.....until the next round

“SAFE Note”- Investment Option

“SAFE”
Simple
Agreement
For
Equity

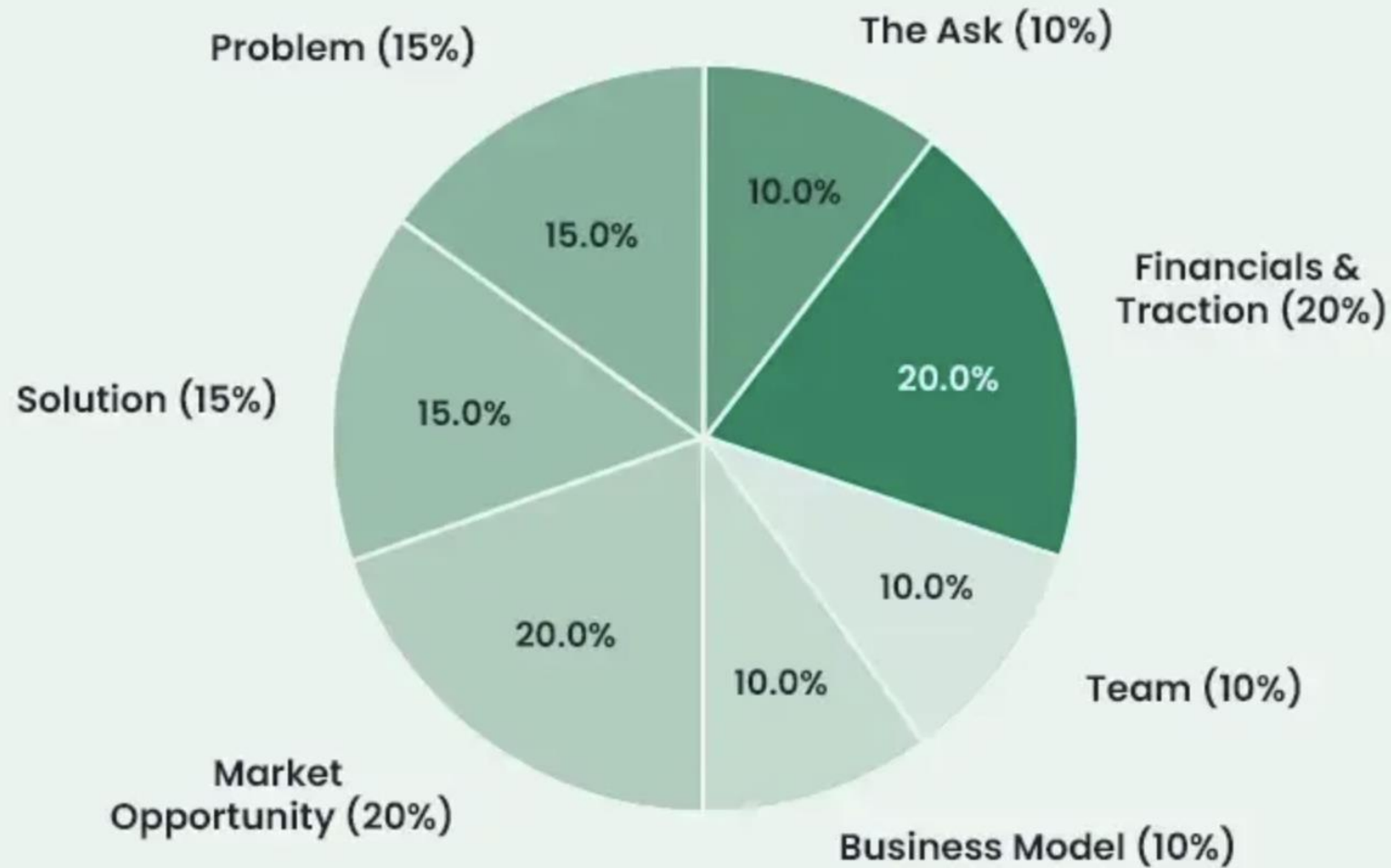
- It’s a “warrant” (agreed right) to purchase Equity at a later date
- It NOT a debt, just a warrant to buy PREFERRED SHARES and the FUTURE ROUND price (or a discounted version)
- Its term is indefinite.
- It DOES NOT requires a COMPANY VALUATION
- Very Simple, Very Fast (why it is attractive)

Pitching an Investment from VCs- A Pitch Deck



They are looking for **HIGH GROWTH** opportunities

What Investors Want to See in a Pitch Deck



Silicon Valley Series- “Pied Piper”

- Fictional Startup in Silicon Valley Series
- Startup that created an algorithm to mega-compress data sent over the internet
- **Did a seed stage- Demo'd the Algorithm at Tech Event-**
created interest
- **Now searching for its first venture capital deal.....with**
acquisition offers in the mix too....

WHAT IS LIKELY AFTER FIRST SHARK TANK DEAL
PERHAPS.....from our friends on *Silicon Valley*

max

Home Series Movies HBO New & Notable



HBO ORIGINAL
SILICON VALLEY

30m 2014 TV-MA AD

▶ Resume S1 E1

↺ Restart

+
My List



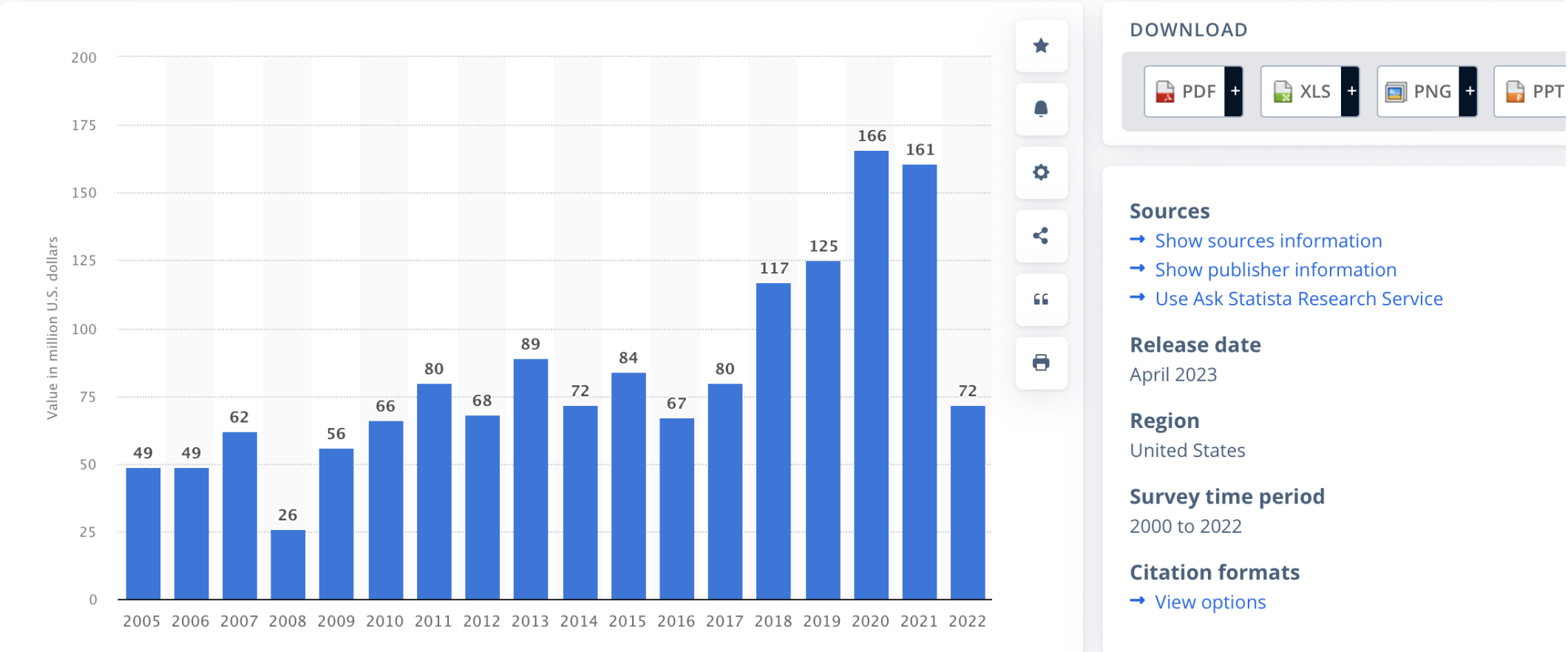
...urted by two major Silicon Valley

Aim for an IPO, but usually sold along the way....usually because it did not grow enough

- ~90% of the time a company in the venture world will be sold before an IPO
 - **Most times because they could not scale to IPO levels**
 - **Sometimes....competitors want them before they get public**
- ***In general....statistics show the IPO is the best return for investors and founders***
- That is the goal

Median amount of equity raised before initial public offering (IPO) in the United States from 2000 to 2022

(in million U.S. dollars)



IOWA-RELATED IPO's

What IPO's have meant to Iowa.....

1. TPI Composites, Inc. IPO Date: 2011	1. Transamerica (now part of Aegon) IPO Date: 1995	1. Oncorus IPO Date: 2020
2. Workiva Inc. IPO Date: 2014	2. Cedar Rapids-based Collins Aerospace (formerly Rockwell Collins) IPO Date: 1996	2. Summit Materials IPO Date: 2015
3. NewLink Genetics Corporation IPO Date: 2006	3. Bucyrus International (acquired by Caterpillar) IPO Date: 1990	3. Sitel Group (now part of <i>Teleperformance</i>) IPO Date: 1996.
4. Heartland Financial USA, Inc. IPO Date: 1996	4. American Eagle Financial Services (now part of <i>First American Bank</i>) IPO Date: 1990	4. HNI Corporation IPO Date: 1985
5. Rockwell Collins, Inc. IPO Date: 1996	5. Norwest Corporation (now Wells Fargo) IPO Date: 1980	5. Cedar Rapids-based Transworld Systems IPO Date: 1998
6. Principal Financial Group IPO Date: 2001	6. Hawkeye Bancorporation IPO Date: 1997	6. Precision Castparts Corp. IPO Date: 2002
7. Vermeer Corporation IPO Date: 2001	7. West Bancorporation, Inc. IPO Date: 1997	.
8. Leidos (formerly SAIC) IPO Date: 2006	8. Data Technologies IPO Date: 1995	7. Iowa Telecom (now part of <i>Windstream</i>) IPO Date: 2000
9. MidAmerican Energy (now part of Berkshire Hathaway Energy) IPO Date: 2000	9. McLeodUSA (acquired by Windstream Communications) IPO Date: 1996	8. Imt Medical IPO Date: 2001
10. Alliant Energy IPO Date: 2000	10. American Republic Insurance IPO Date: 1980s	9. Pella Corporation IPO Date: 1993
		10. Cedar Rapids Savings Bank (now <i>U.S. Bank</i>) IPO Date: 1991
		.

Pros and cons of venture capital financing

Pros

- ✓ **Money to get the business off the ground:** You could secure financing to fund your startup phase and compete in the market. Many lenders do not typically finance startups.
- ✓ **Access to experts:** Investors would act as strategic advisors, guiding your business toward high growth. They may have additional connections in your industry that could be useful.
- ✓ **No debt to repay:** You do not have to repay money that is invested in your company. If the company doesn't succeed, VCs would simply lose their investment.

Pros and cons of venture capital financing

Cons

✗ Loss of control:

Accepting VC financing means you would no longer have full control of the company. The amount of equity granted to investors would determine their involvement in the business.

✗ Misaligned goals:

VCs prioritize making a return on their investment, and they could disregard any of your goals that hinder profit or growth.

✗ Difficulty ending the relationship:

If it's not working out with your investors, you may be able to buy them out and cease the relationship. However, it's more likely that you would end up selling the company or shutting the business to part ways with investors.

ALMOST 2/3 OF TEENS NOW WANT TO WORK IN STARTUPS

[MARKETS](#)[BUSINESS](#)[INVESTING](#)[TECH](#)[POLITICS](#)[VIDEO](#)[INVESTING CLUB](#)[JOIN](#)[PRO](#)[JOIN](#)[LIVESTREAM](#)

INVEST IN YOU: READY. SET. GROW.

60% of teens want to launch their own businesses instead of working regular jobs

PUBLISHED THU, MAR 3 2022 1:09 PM EST



Carmen Reinicke
[@CSREINICKE](#)

SHARE

